

Research Briefing | Eurozone

France and Italy to keep fiscal support flowing next year

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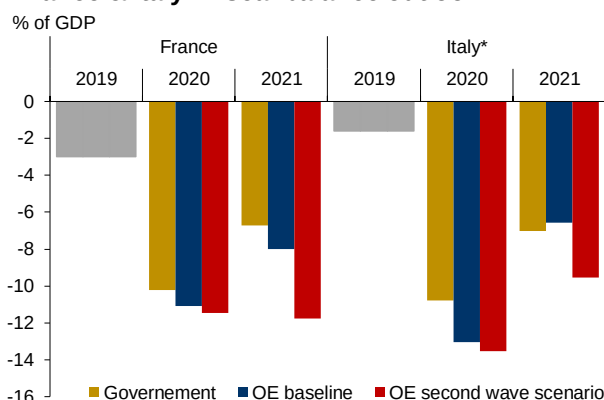
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- The French and Italian draft budgets for 2021 propose to keep fiscal policy fairly accommodative next year. Deficits will reach about 7% of GDP in both countries after budget shortfalls of over 10% this year. In both cases, a meaningful share of fiscal revenues will be provided by EU funds.
- Both official fiscal projections are broadly in line with our baseline and should help sustain the economic recovery. However, several risks could hamper the expected results.
- Budget execution could become a challenge, with the French plan relying heavily on investment projects that could be prone to delays, while Italy's public administration may struggle to swiftly channel the funds. In addition, the EU Recovery Fund could encounter delays, denting the growth impetus.
- The health situation could deteriorate further. Our modelling of a second wave of infections, with new hard containment measures, sees fiscal deficits widening to close to 10% in Italy in 2021, and to around 12% in France. Public debt would exceed 170% and 130%, respectively, 15ppts above our baseline.
- Yet overall, the French and Italian budget plans are further evidence that the region's fiscal response to the crisis is shaping up to be far superior to that seen in previous crises, facilitating rather than offsetting ECB policy.

Following [Germany](#) last week, details of France and Italy's 2021 fiscal budgets are emerging. The French government presented an [official draft](#) of their budget last week, while in Italy, although not yet formally approved, the government has reached an agreement around the main assumptions and the official draft should be presented in the coming days. However, press statements by members of the Italian government and leaked details of the budget allow us to make a first assessment of the official fiscal projections in both countries for next year.

Figure 1: 2021 draft budgets seek keeping fiscal policy accommodative

France & Italy: Fiscal balance outlook



*based on news reports and not on official document
Source : Oxford Economics/Governments

The French and Italian fiscal budget drafts for 2021 will see fiscal policy remaining fairly accommodative next year, with projected fiscal deficits of around 7% of GDP in both countries. These are broadly in line with our latest estimates.

Public budgets will be actively used to support the recovery

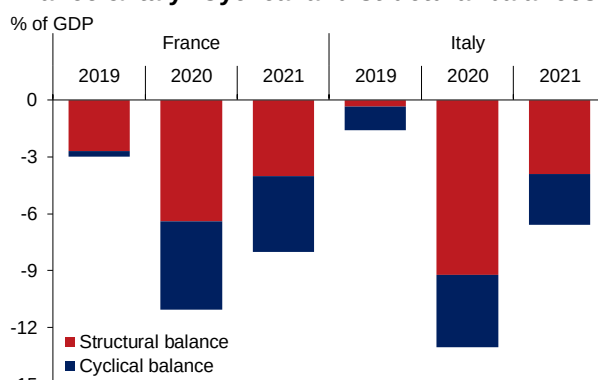
Fiscal policy will remain fairly accommodative next year in France and Italy, as public budgets will be actively used to support the economic recovery following the unprecedented economic shock caused by the coronavirus-induced lockdowns.

Both governments project a fiscal deficit of around 7% of GDP next year, from 13% expected in Italy and 11% in France in 2020.

While at face value fiscal deficits will shrink markedly from 2020 for both France and Italy, their fiscal stance will remain supportive considering the large structural deficits still expected for next year (Figure 2). Overall, 2021 structural fiscal deficits will be significantly wider than the figures registered after the global financial or sovereign debt crises.

Chart 2: Structural deficits will remain large

France & Italy: Cyclical and structural balances



The fiscal stance will remain accommodative next year, with still large structural deficits.

*OE projections based on own estimates of potential output
NB: European funds have a neutral effect on fiscal balances
Source : Oxford Economics

Official figures are broadly in line with our forecasts

Official figures for next year are broadly in line with our own forecasts (Figure 1).

We expect the French fiscal deficit to be 1ppt wider than the government's projection, at around 8% of GDP. The difference comes mainly from slightly diverging expectations for economic growth. While we also expect an economic recession of around 10% this year, we see a softer rebound of 7% in 2021, against 8% hoped for by the government.

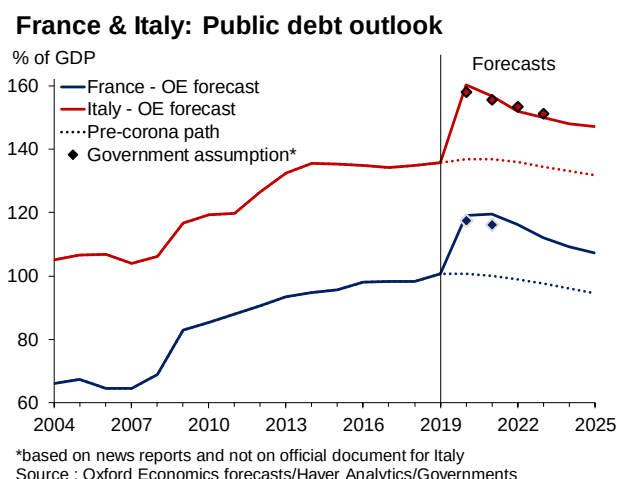
However, given the magnitude of the crisis and the record figures, we consider both forecasts broadly aligned.

In Italy, the government also assumes a lower take-up of the announced fiscal support than us for this year, with their 2020 deficit projections marginally better than ours. The government's estimate for this year is probably based on a stronger rebound in Q3 than our expectations and sees GDP down by 9% in 2020 – 0.7ppt better than our 9.7% forecast. But for next year the government's assumption is in line with our estimate.

Lowering public debt will be a long journey

Public debt is expected to start decreasing from next year, but it will remain high. In France, public debt is seen falling by 1ppt in 2021 to 116%, but still significantly above the 98% registered in 2019. In Italy, the decrease will be even more visible, falling by 5ppts to 155%, after reaching 160% in 2020 from 135% in 2019. France has not provided any projection for 2022, while some press articles indicate the Italian government expects public debt to fall back to only 151.5% of GDP by 2023. The official prospects for both countries next year are also quite in line with our expectations (Figure 3).

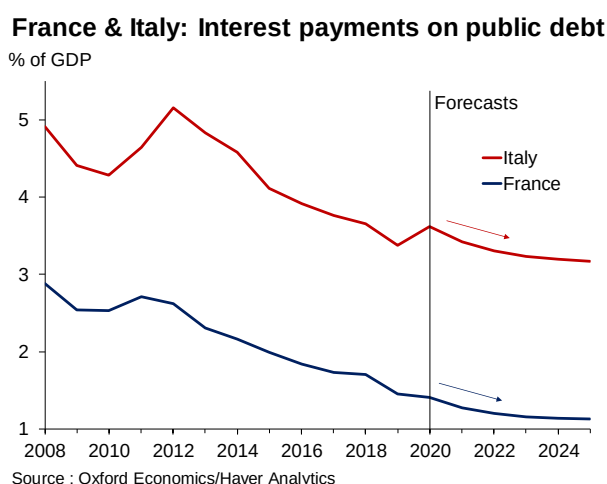
Figure 3: Public debt is expected to start decreasing in 2021, but will remain markedly higher than 2019



The governments' assumptions on public debt are broadly in line with our latest estimates. But the coronavirus shock is clearly visible, with new debt projections remaining far above pre-crisis levels for at least the next five years.

Despite surging debt, the interest burden is likely to keep falling in both countries as the ECB will continue intervening actively in financial markets to keep spreads low. This also means rolling over public debt won't be an issue. We think the [ECB](#) stands ready to act if financial conditions for individual eurozone countries see an unwarranted tightening, market stress arises, or the recovery stalls and larger fiscal stimulus is needed.

Chart 4: Interest payments on sovereign debt likely to continue falling



Due to much lower interest rates, interest payments on sovereign debt have consistently fallen over the past 20 years and are much lower than a decade ago.

A meaningful share of fiscal revenues will be provided by European funds. The French government expects to use €10bn from next year, which is a quarter of the total amount allocated to France over 2021-2024 in the EU Recovery Fund, representing 0.5% of GDP. In Italy, the numbers are even larger. The Italian government intends to use around €15-€20bn grants from the EU Recovery Fund next year, 25%-30% of the total amount of grants allocated to the country and around 1% of GDP.

Delays in the EU funds could dent the 2021 recovery

But the timing of the delivery of European funds also raises some concerns. In this regard, procedural delays and political come-and-goes cannot be ruled out. In fact, EU funds are likely to be available only in the second half of next year as not every detail on the process and conditions have been finalised. The deadline to present projects to be funded by European grants is only in April next year. But these projects need to be aligned with country-specific recommendations provided by the Commission and follow the main priorities of Brussels: sustainable development, productivity, macroeconomic stability, and digitization. The projects need then to be approved by the European Commission, before

any country effectively touches any fund. This is particularly sensitive for the Italian government, which has already suffered open confrontations over the draft budget.

Similarly, the ability of both governments to keep budget execution on track is open to question. As we explained in a [previous report](#), the French recovery plan relies heavily on investment projects that typically take time to be implemented. In this context, we fear that keeping the calendar of disbursements on track, which sees many projects starting from early 2021, could prove challenging. In Italy, the situation seems even more delicate, as the country already faces visible obstacles in implementing emergency economic measures, with [striking delays in disbursing compensation to workers on furlough](#).

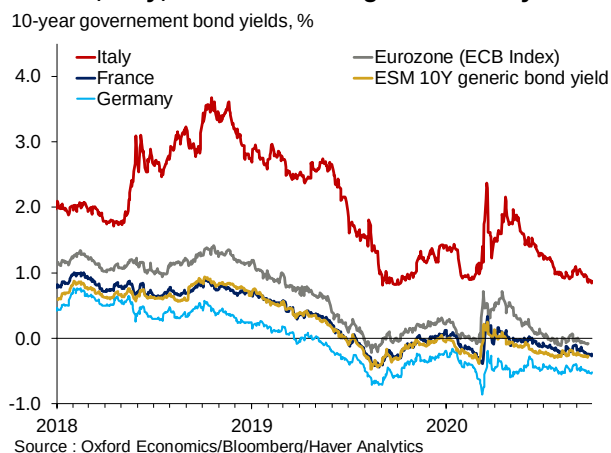
For both France and Italy, fiscal projections are subject to developments in the prevailing health situation, with new hard containment measures the main danger. Under these conditions, there is a high risk that additional supportive measures would be required. We estimate that [in a second wave of infections scenario](#), with new hard containment measures, fiscal deficits would widen to close to 10% in Italy in 2021, and to around 12% in France. Public debt would exceed 170% and 130%, respectively, 15ppts above our baseline.

France is clearly better positioned to deploy additional measures, while Italy will remain more dependent on European measures, such as the European Stability Mechanism's pandemic credit line, the EC's Recovery Fund, and the ECB's monetary policy. For France, sovereign rates remain extremely low, with 10-year bond yields turning negative since May and the spread with the German Bund relatively stable since the beginning of the pandemic. This means France can easily access cheap financing through financial markets if needed. Moreover, French bond yields hover broadly in line with those of the ESM and are even lower than the average eurozone sovereign yields as calculated by the ECB. This makes France much less dependent on European financial resources, as the European funds allocated to France wouldn't be significantly cheaper than national bonds issued in financial markets. For Italy, finding cheap alternatives will be clearly more challenging. While Italian sovereign rates are also on a downward trend thanks to the ECB intervention, they remain meaningfully above the eurozone average and are much more vulnerable to changes in risk appetite by private investors (**Figure 5**).

France is clearly better positioned to deploy additional measures

Figure 5: France is better positioned than Italy to find cheap alternative resources if additional supportive measures are needed

France, Italy, EZ & ESM: Long-term bond yields



French government bond yields remain much lower than the Italian ones – suggesting that France has more fiscal space than Italy should further fiscal measures be needed.